

FUNDAMENTALS OF COSTING AND PRICING

DAY 1



FUNDAMENTALS OF COSTING AND PRICING

GROUP COSTING TASKS

GROUP COSTING TASK ONE

GROUP COSTING TASK TWO

GROUP COSTING TASKS

GROUP COSTING TASK ONE

You are costing an embroidered cushion cover which you will be supplying to Mr Price Home. The materials and processes to make it are as follows:

Materials:

- Hessian – R75/metre. You can make 4 cushion covers with a meter.
- Buttons @ R1.80 each. You need 6 buttons per cushion.
- Embroidery thread at R1.50c per metre. Each cushion takes 7 metres.
- Stuffing at R25/kg. You can stuff 8 cushions with a kg.
- Label at R0.50c – you need one per cushion.

Labour:

- You pay a cutter R250/day. She takes ten minutes per cushion. What does she cost the company per cushion based on a 7hr working day? (Hint: work out the minute rate first!)
- You pay a seamstress R350/day. She can sew 10 cushions per hour. What does she cost the company per cushion?
- You pay a hand worker R200/day. She can embroider 2 cushions per hour. What does she cost the company per cushion?

Cost the cushion using the costing template provided, remember to fill in all costs.

Hints:

- Start by capturing your unit of measurement (m, kg, litre, piece, minutes etc), followed by the cost for that unit of measurement e.g. R30/kg.
- Next, work out the rating for materials. Remember, if you can make MORE THAN ONE item from your unit of measurement., you use the formula **1 divided by How Many You Can Make** = your rating. If you use more than one of a component to make the product being costed, your rating is simply how many you need e.g. 10 steel bars, 5kg sand, 2 zips etc
- You then multiply your rating, by the price per unit of measurement (e.g. $0.2 \times R30$) and that is your cost for that component/material per product.
- For labour, work out your minute rate first, then how many minutes are needed for that task, and simply multiply the two to get your cost of labour per process for that product.

GOOD LUCK

Date:

Product:

Code:

Component	Description	Unit of Measurement	Cost per unit (kg/l etc)	Rating	Total Cost
Material 1					
Material 2					
Material 3					
Material 4					
Material 5					
Material 6					
Total Materials					
Labour 1					
Labour 2					
Labour 3					
Labour 4					
Total Labour					
Packaging 1					
Packaging 2					
Total Packaging					
Total Manufacturing Costs					
Plus Overhead Contribution			25%		
Total Cost Price					

GROUP COSTING TASK TWO

You are costing an HR training workshop. Work out your costs for **ten learners** to attend the training. The materials and processes to deliver it are as follows:

Materials:

- A workshop booklet costs R90 to print – you need one per learner
- Refreshments cost R120 per learner for the workshop
- Venue hire works out to R120 per learner for the workshop
- A data projector costs R250 for the workshop

Labour:

- You pay a trainer R1000/day for a typical 7hr working day. The workshop runs for 4 hours – what is the cost for the trainer per workshop?
- You pay a training assistant R500/day – what is the cost for the assistant per workshop?



Cost a workshop for ten learners, using the costing template provided.

Hints:

Start by capturing your unit of measurement (m, kg, litre, piece, minutes etc), followed by the cost for that unit of measurement eg R30/kg.

- Next, work out the rating for materials. Remember, if you can make MORE THAN ONE item from your unit of measurement, you use the formula 1 divided by How Many You Can Make = your rating. If you use one or more than one of a component to make the product being costed, your rating is simply how many you need eg 1 cabbage, 10 steel bars, 5kg sand, 2 zips etc
- You then multiply your rating, by the price per unit of measurement (eg $0.2 \times R30$) and that is your cost for that component/material per product.
- For labour, work out your minute or hourly rate first, then how many minutes are needed for that task, and simply multiply the two to get your cost of labour per process for that product.

GOOD LUCK

Date:

Product:

Code:

Component	Description	Unit of Measurement	Cost per unit (kg/l etc)	Rating	Total Cost
Material 1					
Material 2					
Material 3					
Material 4					
Material 5					
Material 6					
Total Materials					
Labour 1					
Labour 2					
Labour 3					
Labour 4					
Total Labour					
Packaging 1					
Packaging 2					
Total Packaging					
Total Manufacturing Costs					
Plus Overhead Contribution			25%		
Total Cost Price					

Extra costing sheet

Date:

Product:

Code:

Component	Description	Unit of Measurement	Cost per unit (kg/l etc)	Rating	Total Cost
Material 1					
Material 2					
Material 3					
Material 4					
Material 5					
Material 6					
Total Materials					
Labour 1					
Labour 2					
Labour 3					
Labour 4					
Total Labour					
Packaging 1					
Packaging 2					
Total Packaging					
Total Manufacturing Costs					
Plus Overhead Contribution			25%		
Total Cost Price					